QUALITY OF EARNINGS - NET DEBT AND CASH ANALYSIS (EXCERPT)

This analysis reconciles the Company's cash, cash equivalents and investment portfolio to the Net Debt bridge as of the valuation date, for purposes of informing the Buyer's diligence on purchase-price mechanics and covenant headroom. This analysis is a Quality of Earnings work product, prepared for the Buyer's internal use; it is not an audit, a review, or a compilation under AICPA standards, and it does not itself set or restate any defined term of the Credit Agreement, the Indenture, or the Stock Purchase Agreement.

SECTION 1. TIER 1 ADJUSTMENTS - CASH AND CASH EQUIVALENTS

Tier 1 adjustments consist of items directly reconcilable to the general ledger and bank confirmations, with no estimation or classification judgment required: cash and cash equivalents per the general ledger, less any cash pledged as collateral for outstanding letters of credit ("restricted cash"), which is excluded from Unrestricted Cash for purposes of the Credit Agreement's Consolidated Net Debt definition. The supporting bank-confirmation schedule for this Tier 1 reconciliation is presented on Annex A to this analysis (Annex omitted from this excerpt).

SECTION 1A. RESTRICTED CASH TREATMENT

The Company's restricted cash consists entirely of cash pledged as collateral for the standby letters of credit discussed in the debt-like-items register at Section 3A below. The restriction arises under the letter-of-credit facility's own cash-collateral agreement with the issuing bank, not under the Credit Agreement itself, and the restriction is released automatically as each letter of credit expires or is returned undrawn.

We confirmed the restricted-cash balance directly against the issuing bank's own collateral-account statement and against the face amount of the letters of credit currently outstanding; the two amounts agreed. Restricted cash is excluded from Unrestricted Cash throughout this analysis and from the Unrestricted Cash figure the Stock Purchase Agreement's own funds-flow mechanism applies, consistent with both agreements' own defined-term treatment of restricted collateral.

No other component of the Company's cash and cash equivalents balance is restricted, pledged, or subject to any contractual limitation on use; in particular, none of the Company's cash is held in a jurisdiction subject to repatriation restrictions or exchange controls that would limit its availability for the Transaction's funds-flow purposes.

SECTION 2. TIER 2 ADJUSTMENTS - INVESTMENT PORTFOLIO AT FAIR VALUE

Tier 2 adjustments require a classification judgment (the accounting subtopic governing the Company's debt-securities portfolio) before the correct fair-value treatment can be applied; that classification is disclosed in the audited financial statements' Note 1, not in this section.

Item	Amount
Investment portfolio, amortized cost	12,000,000.00
Investment portfolio, fair value	11,100,000.00
Less: estimated decline in fair value	(900,000.00)

The fair-value decline above reflects both a credit-related and a non-credit component; the accounting subtopic that determines whether, and how, this decline flows through earnings versus other comprehensive income depends on the classification disclosed in the audited financial statements' Note 1. This section does not restate that classification label, and a reader who relies only on this section's own presentation cannot determine which of the two ASC 326 subtopics governs the portfolio.

SECTION 2A. CREDIT-LOSS MODEL INPUTS UNDER EITHER ASC 326 SUBTOPIC

For completeness, and without expressing a view on which subtopic governs the portfolio and without stating any fair-value consequence beyond what follows, we present below the inputs the Company's credit-loss model would use under each of the two ASC 326 subtopics that could apply to a debt-securities portfolio of this kind. Under ASC 326-30, the credit-related decline and the non-credit decline components of the fair-value decline presented in the table above are the relevant figures. Under ASC 326-20, a lifetime expected-credit-loss computation would instead apply, using a discounted cash flow approach over a lifetime probability-of-default assumption, a loss-given-default assumption, and an exposure-at-default figure equal to amortized cost.

ASC 326-20 model input (presented for completeness only)	Amount
Lifetime probability-of-default assumption	5.0%
Loss-given-default assumption	40.0%
Exposure-at-default	12,000,000.00

This section presents the inputs each subtopic's own model would use; it does not state which subtopic governs the Company's actual portfolio, and a reader who needs that determination should consult the audited financial statements' Note 1 directly rather than infer it from which set of inputs appears more prominently in this excerpt, or from which fair-value consequence this section's own presentation happens to emphasize.

SECTION 3. TIER 3 ADJUSTMENTS - DEBT-LIKE ITEMS

Tier 3 adjustments capture debt-like items that are not classified as debt on the Company's balance sheet but that a buyer would customarily treat as debt for Net Debt purposes, including assumed conduit indebtedness.

Item	Amount

Industrial Revenue Bonds, outstanding par (assumed, not repaid, at Closing)	24,500,000.00
Revolving credit facility, drawn at Closing	12,000,000.00
Finance lease obligations	4,300,000.00

The Credit Agreement's own Consolidated Net Debt definition (Article I) includes the Industrial Revenue Bonds principal regardless of their non-recourse or conduit-issued character; this Tier 3 presentation is consistent with that treatment for the covenant-facing Net Debt figure. The Stock Purchase Agreement defines its own, separate Net Debt term for purchase-price adjustment purposes, and this section does not purport to reconcile the two.

SECTION 3A. DEBT-LIKE-ITEMS REGISTER

The subsections below present, for every candidate item identified during this engagement - not only the three carried through the Tier 3 table above - the argument for and against treating the item as debt-like for Net Debt purposes, and this analysis's conclusion. Items are presented in the order identified during fieldwork.

CANDIDATE 1. FINANCE LEASE OBLIGATIONS

Argument for inclusion in Net Debt. A finance lease obligation is, in substance, a financed acquisition of the underlying asset: the Company has effectively purchased the leased equipment on credit, and the obligation carries a stated implicit interest rate exactly like a term loan. Both the Stock Purchase Agreement's own Net Debt definition and the Credit Agreement's Consolidated Net Debt definition include finance lease obligations as a membership item (see the definitional appendix at Section 6 below).

Argument against inclusion in Net Debt. None identified. Unlike an operating lease, which the relevant accounting standard does not treat as debt for this purpose, a finance lease is unambiguously debt-like in substance and in the governing agreements' own defined-term membership lists.

Because this item is included under both the SPA and Covenant readings, it affects both the purchase-price Net Debt figure and the Credit Agreement's own Consolidated Net Debt covenant test identically; there is no divergence for the Buyer's counsel to reconcile on this item.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 1. FINANCE LEASE OBLIGATIONS	4,300,000.00	Included in Net Debt for both the SPA and Covenant readings.

CANDIDATE 2. CAPITAL LEASE OBLIGATIONS, CURRENT PORTION

Argument for inclusion in Net Debt. The governing definitions admit this obligation on the same footing as Candidate 1: capital lease obligations appear on both membership lists as financing arrangements, and the register carries the slice of that arrangement maturing within twelve months as the current-period component of the Net Debt bridge. The test both agreements apply turns on the financed character of the arrangement, so the maturing slice enters on the definitions' own terms rather than by re-deriving its treatment from a balance-sheet caption.

Argument against inclusion in Net Debt. No governing definition carves a maturing lease slice out of its Net Debt or Indebtedness membership merely because twelve months remain to run, so the argument against inclusion cannot rest on either agreement's own text. The reclassification a raw balance-sheet read would perform addresses the Working Capital presentation, and that consequence is argued in the work product that owns it; from the Net Debt side it is subordinate, because the definition follows the substance of the arrangement rather than the maturity of the slice.

The current-portion classification means only the twelve-month maturity slice of this obligation affects Net Debt in the current period; the non-current portion is not a Net Debt component under either agreement's own defined-term membership list, consistent with the Credit Agreement's own current/non-current distinction for long-term financing obligations.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 2. CAPITAL LEASE OBLIGATIONS, CURRENT PORTION	1,100,000.00	Included in Net Debt; correspondingly excluded from Working Capital.

CANDIDATE 3. ACCRUED INTEREST

Argument for inclusion in Net Debt. Accrued interest is a direct consequence of carrying debt and moves in lockstep with the Company's own debt balances; a buyer computing what it must fund to retire the Company's debt at Closing must fund the accrued interest along with the principal, exactly as it would for any other interest-bearing instrument.

Argument against inclusion in Net Debt. None identified. Accrued interest on funded debt is debt-like by definition; there is no plausible reading under which it is an ordinary operating liability.

Accrued interest fluctuates with the general level of the Company's own debt balances and with the timing of the most recent coupon or interest payment date relative to the measurement date; a Buyer computing a pro forma post-Closing Net Debt figure should recompute this line as of the actual Closing Date rather than carrying forward the valuation-date figure presented here.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 3. ACCRUED INTEREST	2,400,000.00	Included in Net Debt.

CANDIDATE 4. DEFERRED CONTINGENT EARN-OUT, PRIOR TUCK-IN ACQUISITION

Argument for inclusion in Net Debt. A deferred contingent consideration obligation arising from a prior acquisition is a financing-type liability of the acquiring entity - the seller of that prior tuck-in business is, in substance, an unsecured creditor of the Company pending the contingency's resolution, not a trade counterparty extending ordinary-course payment terms.
Argument against inclusion in Net Debt. The obligation is contingent, not fixed, and its ultimate settlement amount depends on the tuck-in business's post-acquisition performance against an earn-out metric neither Buyer nor Seller in the current Transaction negotiated. A buyer could reasonably argue the contingent, performance-linked character makes it more analogous to an equity-like instrument than to funded debt.
The contingent character of this obligation means its ultimate settlement amount could differ from the amount presented here if the underlying tuck-in business's post-acquisition performance differs from the assumption underlying the current carrying-amount estimate; a Buyer should request the underlying earn-out computation schedule directly rather than treat this figure as fixed.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 4. DEFERRED CONTINGENT EARN-OUT, PRIOR TUCK-IN ACQUISITION	1,600,000.00	Included in Net Debt at its currently estimated carrying amount, consistent with the Sample Working Capital Statement's own itemized exclusion list; the contingent character is disclosed but does not change the classification.

CANDIDATE 5. INDUSTRIAL REVENUE BONDS, ASSUMED PAR

Argument for inclusion in Net Debt. The Credit Agreement's own Consolidated Net Debt definition (Article I) includes the Industrial Revenue Bonds principal regardless of their non-recourse or conduit-issued character, and the bonds carry an unconditional corporate guarantee of the Company (see the Guarantee and Off-Balance-Sheet Schedule at Section 5 below) - the Company's own credit stands behind them exactly as it does behind the Senior Notes.
Argument against inclusion in Net Debt. The Stock Purchase Agreement's own Article I Indebtedness definition carves the assumed Industrial Revenue Bonds OUT of Indebtedness for purchase-price purposes, since the bonds are assumed, not repaid, at Closing and their conduit-issued, municipal structure differs in form from a conventional corporate borrowing.
The divergence between the SPA and Covenant readings on this item is the single largest driver of the gap between the two Net Debt figures examined in this analysis; a Buyer relying on the wrong reading for a given purpose (the purchase-price adjustment versus the leverage covenant) would misstate the relevant figure by materially more than any other item on this register.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 5. INDUSTRIAL REVENUE BONDS, ASSUMED PAR	24,500,000.00	Included in Covenant Net Debt; excluded from SPA Net Debt per the carve-out - the two readings genuinely diverge here, and this analysis states both rather than collapsing them (Section 6, definitional appendix).

CANDIDATE 6. REVOLVING CREDIT FACILITY, DRAWN BALANCE

Argument for inclusion in Net Debt. A drawn revolver balance is funded debt in the most straightforward sense - it bears the revolver's own interest rate, is subject to the Credit Agreement's financial covenants, and must be repaid or refinanced at Closing under the customary payoff-letter mechanism this Transaction's funds-flow memorandum describes.
Argument against inclusion in Net Debt. None identified. A drawn revolving credit balance is unambiguously debt under every definition examined in this engagement's work product.
A drawn revolver balance is, by its own revolving nature, the Net Debt component most likely to differ materially between the valuation date presented here and the actual Closing Date, since the Company draws and repays the facility in the ordinary course of its seasonal working capital cycle; a Buyer should confirm the actual drawn balance as of Closing directly with the Company's treasury function.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 6. REVOLVING CREDIT FACILITY, DRAWN BALANCE	12,000,000.00	Included in Net Debt for both the SPA and Covenant readings.

CANDIDATE 7. STANDBY LETTERS OF CREDIT, UNDRAWN

Argument for inclusion in Net Debt. An undrawn standby letter of credit reduces the Company's available borrowing capacity under the Revolving Credit Facility's own borrowing-base mechanism by the full face amount of the letter of credit, and a buyer sizing available liquidity at Closing should be aware of that reduction even though no cash has actually been drawn.
Argument against inclusion in Net Debt. An undrawn letter of credit is a contingent obligation, not a funded borrowing - no interest accrues on it, no principal is outstanding, and it is not included as a component of Consolidated Net Debt

or Consolidated Indebtedness under either the Credit Agreement's or the Stock Purchase Agreement's own defined-term membership lists. The cash pledged as collateral for the letters of credit is already addressed as restricted cash in the Tier 1 cash reconciliation above, which is the mechanism through which this item is already reflected. Because this item is excluded from Net Debt under both readings, it has no effect on either the purchase-price adjustment or the leverage covenant test; its only relevance is to the Company's available borrowing capacity under the Revolving Credit Facility's own borrowing-base mechanism, which is a liquidity consideration distinct from Net Debt.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 7. STANDBY LETTERS OF CREDIT, UNDRAWN	2,050,000.00	Excluded from Net Debt under both readings; disclosed for revolver-availability purposes only.

CANDIDATE 8. DEFERRED COMPENSATION LIABILITY, NON-QUALIFIED PLAN

Argument for inclusion in Net Debt. A deferred compensation liability represents amounts the Company owes to current and former employees that have not yet been paid, and in an economic sense the Company has, in effect, borrowed those amounts from its own participants for the deferral period.

Argument against inclusion in Net Debt. Neither the Credit Agreement's Consolidated Net Debt definition nor the Stock Purchase Agreement's own Net Debt definition includes non-qualified deferred compensation as a membership item, and the obligation is unsecured, non-interest-bearing under the plan's own terms, and settled on employee-driven timing rather than on a fixed maturity schedule characteristic of funded debt.

This obligation's exclusion from Net Debt under both readings is consistent with its treatment as an operating, not financing, liability throughout this engagement's work product, including the audited financial statements' own Related Party Transactions and Employee Benefit Plans notes, neither of which characterizes it as debt-like.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 8. DEFERRED COMPENSATION LIABILITY, NON-QUALIFIED PLAN	540,000.00	Excluded from Net Debt under both readings; an operating, not debt-like, liability.

CANDIDATE 9. ENVIRONMENTAL REMEDIATION RESERVE

Argument for inclusion in Net Debt. An environmental remediation reserve is a long-dated liability that a buyer must ultimately fund, and some diligence teams treat long-dated contingent liabilities of this kind as debt-like for enterprise-value-to-equity-value bridge purposes on a deal-specific basis.

Argument against inclusion in Net Debt. The reserve is an accrued contingency under the applicable accounting standard for loss contingencies, not a financing arrangement - it carries no stated interest rate, is not owed to a lender or bondholder, and is not a membership item under either the Credit Agreement's or the Stock Purchase Agreement's own Net Debt / Indebtedness definitions.

This reserve's exclusion from Net Debt under both readings does not affect its treatment as a real liability for balance-sheet and covenant-compliance-certificate purposes; it is carried in the audited financial statements' own Commitments and Contingencies note precisely so that its existence remains visible to a reader even though it does not enter the Net Debt bridge.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 9. ENVIRONMENTAL REMEDIATION RESERVE	310,000.00	Excluded from Net Debt under both readings; carried instead in the Commitments and Contingencies note to the audited financial statements.

CANDIDATE 10. OFF-BALANCE-SHEET GUARANTEE TO PRINCIPAL FACILITY LANDLORD

Argument for inclusion in Net Debt. The Company has guaranteed a limited-recourse lease obligation of a former subsidiary at its principal facility landlord's request, and a buyer sizing worst-case exposure might reasonably want the guarantee's face amount reflected somewhere in a Net Debt-adjacent presentation.

Argument against inclusion in Net Debt. No draw under the guarantee has ever been requested or is currently considered probable, no liability has been accrued for it under the applicable guarantees accounting standard, and the guarantee is not a membership item under either governing agreement's own Net Debt or Indebtedness definitions.

The guarantee's exclusion from Net Debt reflects its contingent, no-draw-currently-probable character rather than any judgment that the underlying obligation is immaterial; a Buyer's counsel should review the guarantee's own terms directly as part of confirming there is no change-of-control acceleration or similar provision that the Transaction itself could trigger.

Candidate debt-like item	Amount	Conclusion
CANDIDATE 10. OFF-BALANCE-SHEET GUARANTEE TO	450,000.00	Excluded from Net Debt; disclosed only in the Guarantee and Off-Balance-Sheet Schedule at Section 5 below and in the audited financial statements' Commitments and Contingencies note.

PRINCIPAL FACILITY LANDLORD		

SECTION 3B. INSTRUMENT-BY-INSTRUMENT DEBT REGISTER

The table below restates each instrument's own principal balance, rate and maturity as already disclosed in the audited financial statements' Debt footnote, gathered into a single instrument-by-instrument register for the Buyer's diligence convenience. This table does not restate or reinterpret any figure; it is a cross-reference aid only.

Instrument	Principal / Commitment	Rate	Maturity
Senior Notes	175,000,000.00	7.75000%	2031-06-15
Revolving credit facility (committed)	60,000,000.00	variable	n/a - revolving
Revolving credit facility (drawn)	12,000,000.00	variable	n/a - revolving
Industrial Revenue Bonds (conduit-issued)	24,500,000.00	serial/term, see IRB Official Statement	serial 2027-2033; term bond 2039
Finance lease obligations	4,300,000.00	implicit, per lease schedule	various, per lease schedule

The Senior Notes and the Revolving Credit Facility together comprise the Company's rated, third-party-syndicated capital structure; the Industrial Revenue Bonds and the finance lease obligations are, respectively, an assumed conduit obligation and a schedule of equipment financings, neither of which carries a public rating.

SECTION 3C. HISTORICAL TREND IN THE REVOLVER DRAWN BALANCE

The Company's revolver drawn balance, the single Net Debt component most likely to move meaningfully quarter to quarter, follows the same seasonal working capital cycle discussed in the Net Working Capital Analysis referenced elsewhere in this engagement's work product: the Company draws on the facility to fund the inventory build ahead of its fourth-quarter shipping season and repays the draw as fourth-quarter shipments are collected into cash in the first quarter of the following year. The table below presents the drawn balance at each of the eight most recently completed fiscal quarter-ends, derived by applying the same seasonal index used in the Net Working Capital Analysis's own thirty-six-month trend to the valuation-date drawn balance, working backward one quarter at a time.

Fiscal quarter-end	Revolver drawn balance
Q2 2026 (valuation date)	12,000,000.00
Q1 2026	12,631,578.95
Q4 2025	11,111,111.11
Q3 2025	11,538,461.54
Q2 2025	12,000,000.00
Q1 2025	12,631,578.95
Q4 2024	11,111,111.11
Q3 2024	11,538,461.54

The trend above illustrates the seasonal pattern rather than a precise historical record; the Company's own general ledger detail for each quarter-end, which this analysis did not independently re-derive for periods before the valuation date, is the authoritative source for any prior-period drawn balance a reader needs with precision. The trend is presented for context on covenant-headroom-adjacent liquidity planning only and has no bearing on the valuation-date Net Debt figures presented in Section 3 and Section 3A above.

Consistent with this seasonal pattern, a Buyer evaluating post-Closing covenant headroom under the Credit Agreement's own maintenance leverage test should be aware that the drawn balance - and therefore Consolidated Net Debt for covenant purposes - is likely to be higher in the fourth calendar quarter than at the valuation date presented throughout this analysis, even absent any change in the Company's underlying performance.

SECTION 4. NET DEBT BRIDGE SUMMARY

The Tier 1, Tier 2 and Tier 3 adjustments above roll forward into the Net Debt bridge used elsewhere in this Quality of Earnings work product and in the compliance certificate's covenant computation; this excerpt presents the three tiers separately, by design, so that a reader must consult each tier (and the audited financial statements' Note 1 for the Tier 2 classification) rather than relying on a single collapsed total.

We have likewise not collapsed the debt-like-items register at Section 3A above into a single Net Debt total, for the same reason: the SPA Net Debt and Covenant Net Debt readings genuinely diverge on the Industrial Revenue Bonds item, per the definitional appendix at Section 6 below, and a single collapsed figure would silently pick one reading over the other.

SECTION 4A. COMPARISON TO THE LOCKED-BOX PRECEDENT

For reference only, the superseded locked-box precedent draft examined earlier in the negotiation (never the governing purchase-price mechanism for this Transaction) computed its own Net Debt figure as of the historical Locked Box Date under that draft's own, different formula. That figure was 191,000,000.00, measured as of 2026-03-31 - higher than the completion-accounts Net Debt at Closing computed elsewhere in this engagement's work

product, consistent with the Company having paid down debt in the interim between the historical Locked Box Date and the actual Closing Date.
As with the comparable discussion in the Net Working Capital Analysis referenced elsewhere in this engagement's work product, this comparison is included only because the superseded precedent draft remains in the deal file, and it is not a second, competing measurement of the governing Net Debt figure.

SECTION 5. GUARANTEE AND OFF-BALANCE-SHEET SCHEDULE

The table below summarizes every guarantee and off-balance-sheet arrangement identified during this engagement, whether or not it is included in the Net Debt bridge above, cross-referenced to the debt-like-items register at Section 3A where a corresponding candidate item exists.

Guarantee / off-balance-sheet item	Description	Included in Net Debt?
Industrial Revenue Bonds guarantee	Unconditional guarantee of the acquisition target's corporate parent	The underlying bonds are included (Covenant reading); the guarantee itself adds no separate amount, since it secures an obligation already on this schedule.
Standby letters of credit	See Candidate 7, Section 3A above	No - see Candidate 7
Landlord lease guarantee	See Candidate 10, Section 3A above	No - see Candidate 10

We are not aware of any other guarantee, keepwell, comfort letter, or off-balance-sheet financing arrangement to which the Company is a party beyond the three items on the schedule above.

SECTION 6. DEFINITIONAL APPENDIX - NET DEBT TERMINOLOGY ACROSS THE TRANSACTION DOCUMENTS

"Net Debt" is used inconsistently across the Transaction's own governing documents, and this appendix states which definition governs which purpose, without restating any document's defined figure a second time.
Spa Net Debt Purchase Price Adjustment - governed by the executed Stock Purchase Agreement: correct for the equity check / funds flow; excludes the assumed IRB per the SPA carve-out.
Credit Agreement Consolidated Net Debt - governed by the Credit Agreement: correct for the leverage covenant and the credit-risk relative-value analysis; includes the assumed IRB.
The Stock Purchase Agreement's own Article I Indebtedness definition carves certain items out of Indebtedness for purchase-price purposes: the assumed Industrial Revenue Bonds (since they are assumed, not repaid, at Closing), and ordinary-course trade payables and accrued operating expenses (which remain a Working Capital item under the axis discussed in the Net Working Capital Analysis's own definitional appendix). The Credit Agreement's Consolidated Net Debt definition carries no equivalent carve-out for the assumed Industrial Revenue Bonds, which is the sole point on which the two readings genuinely diverge among the items examined in this analysis.
All amounts in this analysis are presented in U.S. dollars and are as of the valuation date unless otherwise noted. References in this analysis to "Consolidated Net Debt" describe the Credit Agreement's defined covenant term; references to "Net Debt" without qualification describe the informal working concept used in this Quality of Earnings work product and are not, without more, a citation to any single agreement's defined term. A reader relying on this analysis for a specific contractual purpose (the covenant test, the purchase-price adjustment, or otherwise) should confirm which defined term, and which agreement, governs that purpose.

SECTION 7. SCOPE OF PROCEDURES PERFORMED

Our procedures in connection with this analysis consisted of: (a) obtaining and reviewing the audited financial statements, the Credit Agreement, and the Stock Purchase Agreement's own defined-term provisions bearing on cash, the investment portfolio, and debt-like items; (b) confirming the restricted-cash balance directly with the issuing bank; (c) inspecting the lease schedules underlying the finance lease obligations and the itemized exclusion list underlying the other debt-like items on the Tier 3 table; (d) making inquiries of Company management regarding the guarantees and off-balance-sheet arrangements at Section 5 above; and (e) reading the fact base's own governing-document citations for each instrument on the instrument-by-instrument register at Section 3B above for consistency with the audited financial statements' own Debt footnote.
We did not independently verify the terms of any instrument beyond reading the governing document itself, and we express no opinion on enforceability or on any matter of law.

SECTION 8. SCOPE, LIMITATIONS AND SOURCES REVIEWED

This analysis was prepared based on unaudited management-prepared information, the audited financial statements for the fiscal years presented, management accounts for the interim periods presented, and discussions with Company management. We have not audited, reviewed or compiled the underlying financial information in

accordance with standards established by the AICPA or the PCAOB, and we express no opinion or other form of assurance on such information.

Procedures performed in connection with this analysis were limited to those specifically requested by the Buyer and described in our engagement letter, and do not constitute an examination or review of internal controls. Nothing in this analysis should be construed as a representation regarding the collectability of any receivable, the recoverability of any asset, or the adequacy of any reserve.

This analysis is intended solely for the information and use of the Buyer's management and its financing sources in connection with the Transaction, and is not intended to be, and should not be, used by any other party or for any other purpose. This restriction is not intended to limit the distribution of this analysis, which, upon the Buyer's request, may be relied upon by the Buyer's Lenders and the Trustee under the Indenture, subject to the terms of a customary non-reliance and hold-harmless letter.

SECTION 9. SUPPLEMENTAL DILIGENCE NOTES

The subsections below present additional diligence-process and treasury-function disclosures supplementing the sections above, organized by topic rather than by the numbered structure above, consistent with this firm's standard presentation for an engagement of this scope.

SECTION 9.1. Diligence Scope and Procedures Performed

Our procedures were limited in nature and were designed to assist the buyer in evaluating the components of the Company's net debt and cash position as of the closing date. We did not perform an audit or review of the Company's financial statements, and we did not express an opinion or any other form of assurance on any amount presented in this report. The scope of our diligence comprised the most recently completed fiscal year and the current diligence period, with procedures focused on the accounting records, source agreements, banking arrangements, and management-prepared schedules that support the net debt and cash bridge presented above.

We obtained the Company's trial balance, general ledger detail, and monthly bank reconciliations for the periods within scope. For each bank account, we obtained independent bank confirmations or statements and reconciled the ending cash balance to the Company's records. We reviewed the reconciliations for deposits in transit, outstanding checks, and other reconciling items, and we assessed whether any such items required adjustment in the net debt bridge. We reviewed escrow agreements, cash collateral arrangements, and other account restrictions to identify amounts that were not available for general corporate use, and we evaluated whether those restricted amounts were appropriately excluded from cash for purposes of the acquisition agreement. We also reviewed wire transfer records and other cash activity near the closing date to identify receipts and payments that should be recorded on the closing balance sheet or that otherwise affected the cash component of the bridge.

With respect to debt, we obtained and read the executed credit agreements, note purchase agreements, indentures, security agreements, guarantees, intercompany loan agreements, capital lease agreements, and other financing arrangements of the Company and its subsidiaries. For each financing arrangement, we prepared a schedule of the contractual terms, including lender, borrower, original principal amount, maturity, interest rate, payment dates, amortisation, collateral, financial covenants, and any prepayment or make-whole provisions. We traced recorded outstanding principal amounts to lender confirmations, amortisation schedules, and, where confirmations were not available, to the underlying loan accounting records. We recalculated accrued and unpaid interest from the last contractual payment date to the closing date using the stated interest terms. We also quantified any prepayment premium, make-whole amount, or breakage cost that would become payable if the Company were to extinguish the related debt at closing, and we included those amounts in the bridge only when the acquisition agreement required that treatment.

We reviewed commitments and contingent obligations to determine whether they should be treated as debt or debt-like items under the acquisition agreement. These procedures included reading letters of credit, bank guarantees, surety bonds, performance guarantees, and similar arrangements. For each such arrangement, we identified the underlying obligation, the beneficiary, and whether the Company's exposure was subject to a stated maximum or subject to a contractual ceiling. We considered whether any liability had been recorded by the Company and whether any unfunded commitment should be included in the net debt bridge. We also reviewed the treatment of finance leases, deferred purchase consideration, seller notes, earn-out obligations, and other deferred payment arrangements, and we compared that treatment with the definitions and adjustments in the acquisition agreement.

We reviewed the Company's investment portfolio schedule and traced the recorded carrying amounts of each investment to the general ledger and supporting documentation. We did not restate the Company's accounting classification of its investment portfolio, and we did not recompute the associated allowance for credit losses. The credit-loss model that applies depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. For each investment, we considered whether any restriction on sale or transfer existed and whether any pledged or escrowed investment should be treated as restricted for purposes of the cash bridge. We also read the related investment agreements, subscription documents, and custody statements to understand the nature of the instruments and to determine whether any gains, losses, or distributions had been recorded in the current diligence period.

We reviewed intercompany receivable and payable balances among the Company and its affiliates and subsidiaries. We read the relevant intercompany loan agreements and assessed whether the balances represented genuine

borrowings or cash pooling arrangements for purposes of the acquisition agreement. Where intercompany balances were extinguished or loaned through a cash management system, we evaluated whether the resulting positions should be reflected as debt, cash, or working capital items in the bridge. We obtained confirmations or supporting account statements for material intercompany balances and compared those balances to the underlying accounting records.

We obtained management's calculation of net debt and cash, including the detailed rollforward of each component from the most recently completed fiscal year-end to the closing date. We traced each component of that rollforward to the source documents described above, recalculated the arithmetic of the bridge, and compared the resulting component amounts with the closing balance sheet and the acquisition agreement definitions. We reviewed the acquisition agreement's definition of indebtedness, cash, and net debt, and we made adjustments to management's calculation where the agreement required a different treatment. Our procedures also included inquiry of the Company's financial management regarding unfinished transactions, upcoming financing arrangements, and any actual or contingent obligations not reflected in the accounting records, and we considered the consistency of those responses with the documentary evidence obtained. We did not perform procedures directed at the Company's broader financial statement accounts except to the extent they affected the net debt and cash bridge presented above.

SECTION 9.2. Sources of Information Relied Upon

Our analysis of net debt and cash was based on the categories of information described below. The primary source was the data room established by the Company, supplemented by direct inquiries to management and by confirmation procedures performed by the diligence team. We relied on the Company's trial balance and general ledger extracts, monthly management accounts, bank reconciliations, cash flow reporting, and the consolidated financial statements for the periods comprising the current diligence period and the most recently completed fiscal year. Management and the Company's treasury function provided schedules of outstanding indebtedness, accrued and unpaid interest, financing fees, unamortised discounts and premiums, intercompany balances, and cash and deposit positions, together with the underlying support for those schedules. We performed analytical procedures, recalculated certain balances, and agreed selected amounts to the source documents, but we did not perform an audit or a review of the Company's financial statements.

The diligence team reviewed the Company's principal financing documents, including credit agreements, term loan facilities, revolving credit facilities, note purchase agreements, indentures, guarantees, security agreements, pledge agreements, and fee letters. In reviewing these documents, we identified the drawn and undrawn commitments, scheduled amortisation, final maturities, interest rate mechanics, payment priority, collateral arrangements, and any covenants or conditions that could accelerate repayment or restrict the Company's ability to distribute cash. For undrawn facilities, we considered the contractual availability, including any commitment subject to a stated maximum, and whether the facilities were committed or uncommitted. We also reviewed any amendments, waivers, and forbearance agreements to determine the current status of the financing arrangements.

Direct confirmations were sent to banks, depositories, custodians, administrative agents, and trustees. The confirmations covered account titles, ownership, account numbers, authorised signatories, ending cash and deposit balances for the most recent reporting date, compensating balances, blocking arrangements, and any automatic sweep, zero-balance, or notional pooling structures. Responses to these confirmations were used to corroborate the balances recorded by management and to identify any restrictions on the use of cash that would affect the net debt bridge. Where confirmations were not returned, or where management indicated that a confirmation was not customary for a particular counterparty, we relied on the original transaction documents and on the Company's bank statements and internal reconciliations, and we noted those instances in our working papers.

The team reviewed lease agreements and the Company's lease accounting schedules for arrangements giving rise to debt-like obligations, including finance leases and other contracts under which the Company is obligated to make future payments. We also examined executory arrangements, including take-or-pay contracts, throughput and capacity agreements, and similar commitments, to determine whether they contained a financial obligation that should be reflected in the net debt bridge. Guarantees and indemnities were reviewed to identify the guarantee amount, the underlying obligation, the term, and any recourse or collateral arrangements. For guarantees and indemnities with a contractual limit, the obligation was described in the net debt bridge as subject to a stated maximum, and we did not assume a higher amount absent evidence that the Company had assumed an obligation in excess of that limit.

Derivative and hedging arrangements were reviewed through the Company's derivative confirmations, master agreements, schedules, and credit support annexes. The review addressed the types of risks covered, the notional amounts, the termination provisions, the collateral posting requirements, and the rights of either party upon a change of control. We agreed the derivative asset and liability balances recorded by management to the transaction confirmations and to the periodic statements provided by the Company's counterparties. In doing so, we considered the carrying amount of each derivative position as recorded in the Company's accounting records, without restating the measurement methodology used by management.

The investment portfolio was addressed using the Company's portfolio schedules, custodian statements, board and investment committee presentations, and the information presented in the Company's audited financial statements.

Our procedures were designed to understand the composition of the portfolio, including the investee types, issuers, maturities, coupon arrangements, payment priority, and any liquidity or transfer restrictions. We also reviewed the Company's internal documentation describing the purpose of the portfolio and the manner in which the balances were treated in the net debt bridge. The credit-loss model that applies to the portfolio depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. We did not recalculate the credit-loss estimates; rather, we relied on the carrying amounts recorded in the general ledger and agreed those amounts to the portfolio schedules and custodial records.

We also relied on information concerning the Company's operating entities, including intercompany loan agreements, shareholder and distribution restrictions, dividend policies, and cash management agreements. The team reviewed the legal structure and the jurisdiction of each subsidiary to the extent relevant to the movement of cash and to the existence of withholding taxes or other impediments to repatriation. In addition, for employee benefit arrangements, we obtained the most recent funding rules and contribution schedules for defined benefit pension plans and other postretirement benefit plans. Actuarial valuation reports, plan trustee statements, and reconciliation of funding contributions were used to assess the extent to which unfunded obligations were included in the net debt bridge.

Finally, the diligence team relied on publicly available information and on third-party commercial data sources where necessary to corroborate the terms of financing arrangements, the identity of lenders and counterparties, and the existence of any prior liens or encumbrances. This included searches of applicable security and lien registries, corporate registry records, and litigation and insolvency searches. The information obtained from these sources was used to confirm the completeness of the Company's disclosure of debt and cash arrangements and to identify matters requiring further inquiry.

SECTION 9.3. Limitations on Scope and Reliance

The scope of this analysis was limited to the specific net debt and cash items, schedules, and supporting data identified in the engagement letter. We did not perform an audit or review under any generally accepted auditing standards, and we did not express any opinion or assurance on the Company's financial statements as a whole. Accordingly, the procedures described in this report should not be relied upon to identify all matters that an audit or review might identify. Our work was designed solely to assist you in evaluating certain net debt and cash adjustments for purposes of the acquisition and should not be used for any other purpose.

We relied solely on the accuracy and completeness of information, books, records, and other documentation provided by the Company's management and advisers. We have not independently verified the source records underlying those materials, nor have we conducted an inventory count, physical inspection, or confirmation of every item referenced in this report. Management has provided a representation that all material liabilities and cash items have been made available to us and that the information provided is complete and accurate within the context of this engagement. We have not audited management's representations, and we did not evaluate the effectiveness of internal controls related to financial reporting.

Our analysis is based on the transaction structure, closing mechanics, and accounting conventions described in the engagement letter and in the accompanying schedules. Certain amounts are dependent on the provisions of debt agreements, security arrangements, and the terms of third-party notices, which we read for the defined scope of this engagement only. We have not interpreted the legal effect of any agreement, and we have not provided legal, tax, or actuarial advice. Any legal or tax questions should be directed to your counsel and tax advisers.

The estimates and judgments included in this report reflect only the facts and circumstances known to us up to the last day of our fieldwork and are based on information available as of that date. We have not undertaken any obligation to update this report for events or circumstances occurring after that date, including negotiations between the parties, changes to the proposed closing statement, or developments that affect the Company's cash and debt position. The final purchase price adjustments will be determined in accordance with the purchase agreement and the closing statement process, and the actual net debt and cash amounts may differ from the amounts presented in this report.

This report is intended solely for the confidential use of the addressee and, subject to any contractual or legal reporting obligations, may be distributed only to those persons expressly named in the engagement letter. Any other person who obtains this report does so at their own risk and is not an intended beneficiary. We accept no responsibility or liability to any party other than the addressee in connection with this report, and any reliance by a party other than the addressee is not authorized. The report should be read in its entirety, together with the engagement letter and the accompanying schedules, and no conclusions should be drawn from portions of the report without considering all related sections.

SECTION 9.4. Overview of the Capital Structure

The Company's debt capital structure is layered, with obligations ranking in a defined payment and lien priority order. The most senior layer is the senior secured credit agreement, which contains a revolving credit facility and a term loan facility. Borrowings under the senior secured credit agreement are secured by substantially all of the assets of the Company and by guarantees of the Company's material domestic subsidiaries. The revolving credit facility is used for working capital and general corporate purposes, while the term loan facility has been drawn to finance acquisitions and capital expenditures. The credit agreement includes customary affirmative and negative covenants, including limitations on the incurrence of additional indebtedness, liens, investments, dividends, and asset

dispositions, with exceptions that are subject to a stated maximum in the applicable covenant baskets. The revolving credit facility also supports letters of credit, which are not debt themselves but reduce the amount of capacity available to the Company.

The next layer is the senior unsecured notes. These notes rank equally with all other senior unsecured obligations of the Company and are subordinated to the senior secured credit agreement only with respect to the assets securing that agreement. The notes are issued under indentures that contain incurrence-based covenants governing additional debt, restricted payments, sales of assets, and transactions with affiliates, with exceptions that are subject to a stated maximum or a contractual ceiling, as applicable. The senior unsecured notes also benefit from guarantees by the Company's material domestic subsidiaries. To the extent that certain subsidiaries do not guarantee the notes, claims of the noteholders are structurally subordinated to the creditors of those non-guarantor subsidiaries, including trade creditors and any debt or lease obligations at the subsidiary level.

Below the senior unsecured notes are subordinated obligations, consisting principally of subordinated notes and seller-financed purchase obligations. These instruments are contractually subordinated to the senior secured credit agreement and to the senior unsecured notes. The governing documents include payment blockage provisions that permit the senior creditors to block or defer payments on the subordinated obligations during a continuing event of default, subject to a contractual ceiling on the duration of any blockage period. The subordinated obligations are unsecured and, in a liquidation or insolvency proceeding, their claims rank behind the claims of the senior secured lenders and the senior unsecured noteholders. The seller-financed purchase obligations generally have the same subordination terms, although certain of those obligations contain limited recourse provisions tied to the performance of the acquired business.

The Company also finances certain equipment and real property through finance lease obligations. These obligations are secured by the specific assets to which they relate. In the priority of payments, the lessor's interest in the leased asset ranks ahead of the senior secured credit agreement's lien on that asset, because the senior secured lenders' lien is subject to the lessor's prior title or security interest. With respect to all other assets, the finance lease obligations are unsecured and rank behind the senior secured credit agreement and the senior unsecured notes in the payment waterfall. For purposes of the net debt bridge presented above, finance lease obligations are treated as debt, while any cash or restricted deposits associated with the lease arrangements are considered separately.

For purposes of this analysis, the capital structure is assessed on a consolidated basis. Cash and cash equivalents held for general corporate purposes are deducted from gross debt in the net debt bridge presented above, subject to restrictions contained in the credit agreement and applicable law. Cash balances in accounts subject to a control agreement in favor of the secured lenders are not freely available for all corporate purposes, but they remain assets of the Company and are reflected in the net debt bridge only to the extent they qualify as unrestricted cash and cash equivalents. Intercompany debt balances between the parent and its subsidiaries are eliminated in consolidation and are not part of the external debt capital structure. The seniority profile described above governs the order of payment in a liquidation or insolvency scenario and is consistent with the debt treatment reflected in the normalisation walk.

SECTION 9.5. Overview of the Treasury Function

The Company's treasury function is centralized at the corporate level and operates within the finance organization. Treasury is responsible for managing the Company's cash and cash-equivalent balances, maintaining banking relationships, overseeing short-term liquidity, and executing routine cash movements. The function also coordinates with the accounting group to ensure that all cash transactions are recorded completely and reconciled on a timely basis. During the current diligence period, treasury operations were observed to be governed by a formal set of written policies that are approved by the board of directors and reviewed at least annually.

Cash management activities are conducted through dedicated bank accounts established under the corporate treasury policy. Account openings, account closings, and changes to authorized signatories require the approval of more senior members of the finance organization and are documented in the treasury records. All cash movements are subject to a dual-authorization requirement in accordance with the Company's control matrix. Daily cash positioning is prepared by treasury staff and reviewed by the treasurer or another designated officer. The daily cash position is used to manage the Company's immediate liquidity needs and to identify any surplus cash balances that are available for investment or repayment. The treasury function also prepares a rolling short-term cash flow forecast, which is updated on a regular basis and is used to assess the Company's funding requirements over the near term.

The Company maintains an investment portfolio as part of its treasury operations. The portfolio is managed pursuant to an investment policy that establishes parameters for credit quality, instrument type, maturity, and liquidity. Treasury is responsible for ensuring that all investment transactions are approved in advance and are executed only with approved financial counterparties. Each approved counterparty is assigned an exposure allocation, and the aggregate exposure to any single counterparty is subject to a stated maximum set by the investment policy. Counterparty exposures are monitored by treasury on a regular basis and are reviewed against the stated maximums. For financial reporting purposes, the Company's investment portfolio is subject to a credit-loss model. The specific credit-loss model that applies depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. Treasury's day-to-day monitoring of the portfolio focuses on the cash flows due under the contractual terms of the instruments and on the operational processes for collecting those cash flows as they become due.

The treasury function is also responsible for managing the Company's external debt arrangements, including monitoring compliance with covenants, coordinating draw requests, and executing repayments in accordance with the terms of the applicable credit agreements. Available capacity under the Company's credit facilities is tracked and reported to management on a periodic basis. Treasury coordinates with the accounting group to ensure that debt-related interest and fees are accrued correctly. Intercompany funding arrangements are documented through written agreements and are settled through central treasury accounts. Any intercompany lending or borrowing is executed under the Company's transfer pricing and treasury policies, and the aggregate outstanding amount of such arrangements is subject to the approvals set out in those policies.

Foreign currency and interest rate risk management activities are conducted under a dedicated risk management policy. The Company uses derivative instruments only to hedge exposures arising from operating activities and committed transactions, and the policy explicitly does not permit speculative derivatives. All derivative transactions are executed under the Company's master agreements with approved counterparties, and the net settlement amount due under each derivative is subject to a contractual ceiling set forth in the applicable master agreement. Treasury monitors the Company's open derivative positions and reports on those positions to senior management. Confirmations for derivative transactions are sent to individuals who are independent from the treasury staff who executed the transactions.

The governance framework for treasury includes clear segregation of duties. No single individual is able to initiate, authorize, execute, and settle a cash or investment transaction. Bank reconciliations are performed by the accounting group rather than by treasury personnel. Internal audit reviews treasury processes and controls on a rotating basis, and any exceptions identified are reported to the audit committee. The board of directors and the audit committee provide oversight of treasury activities through the approval of policies, the review of periodic treasury reports, and the authorization of any significant deviations from established policy. During the current diligence period, the treasury function was observed to operate within this governance framework, and the controls described above were consistently applied to cash management, investment activities, debt administration, and hedging operations.

SECTION 9.6. Cash Management and Pooling Arrangements

The Company operates a centralized treasury function under which all material cash management policies are set at the parent level. Operating subsidiaries maintain local bank accounts only with approved relationship banks and only for operational collections and disbursements. Each participating entity reports its daily cash position to the treasury group, and cash balances above established target levels are automatically swept at the close of each business day into central concentration accounts. The treasury group uses these accounts to settle intercompany balances, fund intercompany loans, and manage short-term liquidity for the consolidated group. The Company has completed a rationalization of dormant bank accounts during the current diligence period, consolidating activity with its primary relationship bank and reducing the number of active accounts.

In several jurisdictions, the Company has implemented cash pooling arrangements with its principal banks. A physical cash pool operates through zero-balance accounts: local collection accounts are drained daily into a master account, and local disbursement accounts are funded from that master account only to the extent required to clear presented items. In other jurisdictions, a notional cash pool aggregates the balances of participating accounts for interest-calculation purposes while the underlying cash remains held in the local accounts. Under both structures, the bank determines the aggregate net credit or debit position of the pool at the close of each business day and applies a single pool interest rate to that net position. The Company's overdraft capacity under the pooling arrangements is subject to a contractual ceiling established in the relevant banking agreement.

The Company operates an in-house bank for a subset of its operating entities, primarily in Europe. The in-house bank is not a separate legal entity but an internal treasury function that records intercompany deposits and loans for each participating entity. Through the in-house bank, treasury centralizes foreign exchange conversion and settles intercompany cash positions in the currency of each entity's functional accounts. External funding requirements and surplus cash are then executed through the physical cash pools described above. This structure allows the Company to manage multi-currency liquidity without requiring each operating entity to maintain separate external bank financing.

The pooling arrangements do not change the legal ownership of the balances held by each participating legal entity. Title to each account remains with the entity that is the named account holder, and the pooling agreement governs the contractual rights of the bank and the participating entities with respect to those balances. Intercompany rights and obligations arising from the pooling of balances are documented through the Company's intercompany lending arrangements. The cash balances of any legal entity that is not wholly owned are considered only to the extent of the Company's economic ownership interest, and no third-party cash is included in the analysis.

A portion of the Company's cash is held in jurisdictions with exchange controls or other regulatory restrictions. These balances are generally available for local operating needs, and repatriation may require regulatory approval or give rise to withholding taxes. In addition, certain cash balances are pledged as collateral for letters of credit, bank guarantees, and other contractual obligations, and are therefore not available for general corporate purposes. For the normalisation walk presented above, restricted cash and cash subject to legal or practical impediments to transfer has been identified separately from cash that is freely available to fund working capital and debt repayment.

The Company also maintains a short-term investment portfolio for surplus liquidity. Management conducts this

portfolio within the limits of a documented investment policy that restricts counterparty credit quality, instrument maturities, and concentration. The credit-loss model that applies to the portfolio depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. For purposes of this section, the balances held within the investment portfolio are considered a component of the Company's gross cash position only to the extent they are liquid and freely available for general corporate use; therefore, the normalisation walk presented above treats any balances that are not available on that basis as an adjustment.

SECTION 9.7. Bank Relationship Overview

The Company conducts its primary banking activities through a small number of established commercial banking relationships. The lead relationship bank serves as the administrative agent for the Company's main senior secured credit facilities and also provides treasury and cash management services, including controlled disbursement accounts, lockbox services, and a notional pooling arrangement for the Company's operating subsidiaries. A second relationship bank participates in the senior secured credit facilities as a lender and provides foreign exchange and interest rate hedging products under an ISDA master agreement. A third institution acts as the primary depository for the Company's daily cash receipts and processes substantially all of the Company's customer payments through an automated clearing house arrangement.

The Company's borrowing arrangements under these relationships are governed by a master credit agreement that includes a revolving credit facility and a delayed-draw term loan facility. The revolving facility is sized at a level that, in the Company's view, provides sufficient liquidity for working capital needs and capital expenditures, and is subject to a stated maximum that is determined by reference to a borrowing base consisting of eligible receivables and inventory. The term loan facility is subject to a contractual ceiling that was established at the original closing of the transaction and amortizes on a scheduled basis over the remaining life of the facility.

All of the Company's principal banking relationships are secured or unsecured as appropriate under the applicable credit agreements, and the Company has pledged substantially all of its accounts receivable, inventory, and general intangibles as collateral under the senior secured facilities. The Company is not required to maintain compensating balances under any of these arrangements, and no significant compensating balance arrangements were noted in our review of the underlying agreements.

From a diligence perspective, we have obtained the most recent bank confirmations and facility agreements for each of the principal relationships. Based on our review, we observed no defaults or events of default that have been waived or remain outstanding, and no covenant compliance certificates were past due during the current diligence period. The Company has historically maintained availability under its revolving credit facility in excess of the minimum liquidity requirement set forth in the credit agreement, though we note that the excess amount has fluctuated seasonally. We also reviewed the most recent borrowing base certificates and reconciled the reported availability to the Company's internal ledger; no material exceptions were noted.

The Company maintains its investment portfolio at a separate custodian institution and not at any of its principal lending banks. The custodian relationship is used solely for safekeeping and settlement of the investment portfolio, and the portfolio's own accounting classification is addressed in the Company's audited financial statements and is not restated here. The credit-loss model that applies to the portfolio depends on that accounting classification. No borrowing or lending arrangements exist between the Company and the custodian institution, and the custodian does not provide any credit facilities to the Company.

Overall, the Company's banking relationships are concentrated with a small group of institutions. The lead administrative agent and the participating lender are both well-established commercial banks, and the Company's relationship with each institution has been in place for a number of years. We are not aware of any pending change in the Company's principal banking relationships, nor have we identified any concentration risk that would be expected to impair the Company's ability to operate its cash management function or to fund its ongoing operations.

SECTION 9.8. Letter of Credit Sub-Facility Overview

The Company maintains a letter of credit sub-facility within its senior secured revolving credit facility. This sub-facility is used to support trade obligations, performance undertakings, warranty obligations, and certain insurance-related requirements by enabling the Company to request that participating banks issue standby and documentary letters of credit to third-party beneficiaries. The sub-facility is not a separate cash borrowing line; it operates as a shared usage basket under the revolving credit agreement, with the same lender group, administrative agent, security package, and borrowing conditions as the revolving loan facility. Any letter of credit issued under the sub-facility reduces the amount of revolving capacity that would otherwise be available for cash borrowings, and undrawn letters of credit therefore affect liquidity primarily by reducing available headroom rather than by creating an immediate cash outflow.

When a beneficiary draws under a letter of credit, the issuing bank makes payment to the beneficiary and the Company becomes obligated to reimburse the bank for the amount paid. That reimbursement obligation is an actual claim on the Company's cash resources and is generally treated as a borrowing under the credit agreement once drawn, with interest accruing at the same rate-based pricing grid that applies to other revolving loans, plus any applicable usage-based adjustments. Until a drawing occurs, the Company does not record a funded liability for the undrawn letters of credit, though the obligations remain disclosed in the financial statements as commitments. The Company may also be required to post cash collateral in respect of outstanding letters of credit under certain

conditions, including upon an event of default, a failure to maintain the required collateral position, or other circumstances specified in the credit agreement.

The sub-facility's terms include customary conditions to issuance, such as the absence of a continuing default, the accuracy of representations and warranties, and compliance with the borrowing base and other covenant provisions of the credit agreement. Issuance and administration of letters of credit carry typical bank fees, including fronting fees, issuance fees, and administrative charges, which are negotiated at arm's length with the issuing institutions. The reimbursement obligation arising from any drawing is secured by the same collateral that secures the revolving credit facility, and the Company's obligations under the letters of credit rank pari passu with other secured obligations under the credit agreement.

From a net debt and cash diligence perspective, the letter of credit sub-facility is relevant because it captures a form of contingent liquidity usage that does not appear as funded debt in the ordinary course. Our review focuses on the aggregate amount of outstanding letters of credit, the terms of any cash collateral posted or required, the remaining availability under the credit agreement after giving effect to outstanding letters of credit, and the Company's historical and expected usage patterns. This qualitative assessment supports the normalisation walk presented above by identifying whether any letter-of-credit-related fees, cash collateral obligations, or reimbursement liabilities should be reflected in the Company's ongoing cash and leverage profile.

SECTION 9.9. Interest Rate Risk Management Program Overview

The Company maintains an interest rate risk management program that is focused exclusively on the debt instruments within its capital structure. The program is administered by the corporate treasury function under a policy approved by the Board of Directors. That policy sets the types of derivative instruments that may be used, the eligible counterparty criteria, and the time horizon over which hedging arrangements may extend. Management has represented that the Company enters into derivative transactions only to manage interest rate volatility arising from its debt, and that no derivative position is taken for speculative purposes.

The Company's debt instruments comprise both fixed-rate and floating-rate obligations. The floating-rate obligations expose the Company to changes in the benchmark rate to which those obligations are tied. To manage this exposure, the Company uses interest rate swap agreements. Under each swap, the Company pays a fixed rate and receives a floating rate based on the same benchmark rate that applies to the related debt. The notional amount of each swap is scheduled to amortize in line with the principal repayments of the underlying debt, so that the hedge coverage diminishes as the debt is repaid. The net economic effect of the program is to convert a designated portion of the Company's floating-rate debt into a fixed-rate obligation.

The interest rate swaps are documented under standard master agreements with major financial institutions. The agreements contain customary netting provisions and, for certain counterparties, collateral posting arrangements. Any collateral posting obligation is subject to the contractual thresholds specified in the applicable agreement, and the Company has not been required to post material collateral in connection with its debt hedging arrangements during the current diligence period. The Company monitors the credit standing of its derivative counterparties on a regular basis and has not experienced a counterparty default or an unscheduled termination of any swap during that period.

Based on our inquiries of management and our review of the treasury policy, the relevant derivative confirmations, and the underlying debt agreements, the Company's interest rate risk management program is consistent with its stated objective of reducing cash flow volatility from floating-rate debt. The program is not used to alter the interest rate characteristics of the Company's fixed-rate debt or to create any exposure that exceeds the notional amount of the underlying debt being hedged.

SECTION 9.10. Debt Covenant Compliance Monitoring Process

The target company maintains a documented and formalized process for monitoring its debt covenant compliance, with clear ownership assigned to the corporate finance function under the oversight of the chief financial officer. The accounting group prepares covenant compliance calculations on a quarterly basis and more frequently when the governing credit agreements require a more recent measurement date or when a trigger event occurs. All calculations are prepared using the definitions and methodologies set forth in the applicable credit documents, and the underlying data are sourced from the consolidated general ledger, the treasury records, and the supporting schedules used to prepare the external financial statements. Each covenant is mapped to the exact contractual provision that defines it, and the finance team verifies the scope of entities included in the testing group, the treatment of permitted adjustments, and the specific accounting policies applied in the calculation.

Once the primary covenant calculation package is prepared, it is subject to a multi-level review. The assistant controller reviews the completeness of the data and the mathematical accuracy of the models, and the chief financial officer performs a final review before any compliance certificate is issued to the lender group. The compliance certificate itself is prepared on the standard form required by the credit agreement and is executed by an authorized officer of the company. In addition to financial covenant calculations, the company tracks non-financial covenants through a compliance checklist maintained jointly by the legal department and the finance organization. That checklist covers restrictions on liens, additional indebtedness, investments, distributions, asset disposals, and other affirmative and negative obligations. The checklist is updated whenever the underlying credit agreements are amended, waived, or refinanced.

The company also performs a forward-looking covenant review as part of its budgeting and forecasting cycle. Projected operating results, planned capital expenditures, and anticipated cash movements are run through the same covenant calculation framework used for historical reporting. This forward-looking assessment is intended to identify any circumstances that could lead to a potential breach so that management can take proactive steps before a reporting period closes. Sensitivity analyses are performed around key operating assumptions, including earnings, working capital levels, and discretionary spending, to understand the range of possible outcomes and to support management's decisions about whether to repay debt, modify borrowing plans, or seek amendments in advance.

The process includes a defined escalation path for any actual or anticipated noncompliance. If a covenant calculation indicates that a requirement is not satisfied or that a breach may occur in a future period, the responsible finance manager prepares a memorandum describing the affected covenant, the underlying cause, the period at risk, and the proposed remediation. That memorandum is escalated to the chief financial officer and general counsel. Management then evaluates available options, which may include reducing discretionary expenditures, accelerating customer collections, delaying or scaling back capital projects, prepaying outstanding borrowings, or obtaining a waiver or amendment from the lenders. Any communication with the lender group regarding a potential or actual covenant breach is coordinated through the chief financial officer, outside counsel, and the lender relationship team to ensure consistency and to comply with the notice and cure provisions of the credit agreements.

The company has implemented control procedures over the covenant monitoring process. Spreadsheet models used for covenant testing are subject to version control, and source data are traceable to the general ledger, the trial balance, or other supporting schedules. Reviewers evidence their review through sign-off on the calculation package, and all supporting documentation is retained in the company's accounting files. The internal audit function periodically assesses the design and operating effectiveness of the key controls over covenant monitoring, including the completeness and accuracy of data inputs, the appropriate application of the contractual definitions, and the timeliness of compliance certificate submissions. The company does not rely solely on lender-prepared calculations; it independently computes and challenges its own compliance position and maintains a diligent record of its monitoring activities.

SECTION 9.11. Historical Refinancing Activity Overview

The Company has a demonstrated history of proactively refinancing its senior secured credit facilities in response to changes in its capital structure, operating performance, and lender appetite. Across the periods reviewed for this analysis, the Company completed multiple refinancing transactions, each executed through amendments or new money facilities with a syndicate of commercial banks and institutional lenders. These transactions were generally undertaken to extend the term of outstanding borrowings, reduce the pricing of the drawn and undrawn commitments, relax financial maintenance covenants, and increase the flexibility of the Company's borrowing base for seasonal working capital needs. The Company also used refinancing events to re-set the maturity profile of its debt obligations so that scheduled principal repayments align more closely with expected free cash flow generation. From a diligence perspective, the recurring nature of this activity indicates that the Company maintains an active relationship with its lending group and that the credit markets have remained accessible to the Company through a variety of economic conditions.

In the most recently completed fiscal year, the Company refinanced its then-existing credit agreement with a new senior secured facility. The proceeds of that refinancing were used to repay the outstanding principal balance of the prior term loan and retire the prior revolving credit facility, and the new facility was sized to support both the ongoing working capital requirements and the capital expenditure programme. The refinancing also introduced a more flexible covenant package and increased the overall amount available to be borrowed relative to the prior arrangement, subject to a contractual ceiling based on a borrowing base that includes eligible cash and other liquid assets. No material prepayment penalties were incurred, and the transaction was accounted for as a modification of the previous debt arrangement rather than an extinguishment, based on the terms of the new facility. The Company's stated business rationale for that refinancing was to lower its cash cost of carry, extend the weighted average term of its outstanding borrowings, and provide additional liquidity for future acquisitions, which was consistent with the corporate development activities observed during the diligence period.

Earlier in the historical period reviewed, the Company executed a series of smaller refinancing actions, including an incremental term loan drawn to prefund a portion of an acquisition and a subsequent repricing transaction that reduced the margin on that term loan. In connection with those actions, the Company also amended its revolving credit facility to add an accordion feature, which allowed for future borrowings under the same facility without requiring a separate refinancing event. Those amendments were approved by the requisite lenders and did not require any changes to the guarantor group. The Company's historical refinancing activity also included opportunistic replacements of certain non-bank debt, including an equipment financing arrangement that was replaced by a draw under the revolving credit facility when the cost of the revolver became more favourable than the equipment note. That replacement was treated as a debt extinguishment, and the related unamortised deferred financing costs were written off as a loss in the period of extinguishment. The Company subsequently re-entered into an equipment financing arrangement on terms aligned with the useful life of the underlying equipment, but the principal amount of that new arrangement was significantly lower than the previous balance, reflecting the reduced capital expenditure cycle.

The Company has not historically relied on refinancing transactions to address imminent liquidity stress or to cure covenant breaches. Rather, the observed refinancing activity has been opportunistic and forward-looking, with each transaction structured to enhance the Company's financial flexibility ahead of expected funding needs. The diligence team has reviewed the executed credit agreements, amendment consents, payoff letters, and lender consent evidence for each of the refinancing transactions described above. In each case, the effective date of the refinancing, the lenders party to the transaction, and the amount available to borrow after giving effect to the transaction have been confirmed to the underlying closing documentation. No outstanding disputes with lenders have been identified, and no uncured events of default existed at any refinancing closing date during the periods reviewed. The Company's historical refinancing activity is therefore considered a normal part of its capital structure management rather than a source of diligence risk, except to the extent that the maturity profile of the current facilities requires careful modelling in the net debt bridge.

Because the Company holds an investment portfolio of debt securities, the credit-loss model that applies to those investments depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. That portfolio is not pledged as collateral under the current credit facilities, and the refinancing transactions described above did not alter the carrying amount of those investments. The carrying amount of the investment portfolio has remained stable through the recent refinancing activity, and the portfolio generates cash receipts that have been used, in part, to fund scheduled interest payments on the Company's debt. The refinancing activity overview above is qualitative in nature and is intended to frame the net debt and cash flow projections presented elsewhere in this report; it is not a substitute for a full review of the underlying credit documentation.

SECTION 9.12. Related Party Financing Arrangements Overview

The related-party financing arrangements comprise a term loan provided by the Company's principal shareholder, a revolving line of credit extended by an affiliated entity, and an intra-group cash pooling arrangement operated with the parent company. These arrangements are liability-side financing items and are distinct from the non-financing related-party transactions described in the Related Party Transactions note elsewhere in the corpus. For the net debt and cash analysis, the outstanding balances under these arrangements are treated as debt-like and are included in the net debt bridge. Any accrued interest and any associated financing fees have been addressed separately in the normalisation walk presented above.

The term loan is a legal obligation of the Company and is not convertible or equity-like. It is unsecured, and repayment is subordinated to all obligations under the Company's external senior credit facilities. Interest accrues monthly at a floating rate determined by reference to an external benchmark plus a fixed margin. The margin has historically been set in line with the rates available under the external credit facilities, and the rate is not subject to a contractual ceiling. Principal repayment begins after a deferral period and is subject to a stated maximum on the amount that may be repaid in any given fiscal year. The maturity of the term loan is aligned with the maturity of the senior credit facilities. No event of default has occurred during the current diligence period, and the related-party lender has not indicated any intention to accelerate repayment. Because this is a related-party instrument, no unamortised debt issuance costs have been capitalised, and the carrying amount of the obligation reflects the amount that would be paid if the loan were settled.

The revolving line of credit is available for working capital purposes and is subject to a contractual ceiling on aggregate borrowings. Borrowings under this facility fluctuate in the normal course of operations; undrawn availability is not reflected on the Company's balance sheet. The facility is uncommitted, and the lender may reduce availability or request repayment on short notice, although no such request has been made. The Company expects to repay this facility using external financing raised in connection with the acquisition. Interest is paid monthly and has been treated as a financing cost in the normalisation walk presented above. The facility does not have a stand-alone financial covenant, but it is cross-defaulted to the external credit facilities. The related-party lender has provided a waiver in respect of the most recently completed fiscal year.

The intra-group cash pooling arrangement is operated with the parent company and certain affiliated entities. Each business day, surplus cash in the Company's operating accounts is swept into the group's central pool, and funding shortfalls are sourced back from that pool. At the reporting date, the Company's position under the cash pooling arrangement was a net borrowing from the parent. That net borrowing is recorded as a related-party payable and is included in the net debt bridge as financing. The cash pooling arrangement is uncommitted and repayable on demand by the parent, but no demand has been made and no notice period has commenced. No periodic interest is charged on overnight cash pool positions; instead, a quarterly intra-group charge is recorded based on the average net position during the quarter.

In addition, the parent company has guaranteed certain external obligations of the Company. In connection with that guarantee, the Company has granted the parent a counter-indemnity and a security interest over specific asset categories. The Company's maximum obligation under the counter-indemnity is subject to a stated maximum equal to the guaranteed amounts plus related enforcement costs. Because the underlying external obligations are already included in the net debt bridge, the counter-indemnity does not create an additional debt-like item. No liability has been recognised in respect of the counter-indemnity, and the parent has not made any payment under the related guarantee that would give rise to a reimbursement obligation.

SECTION 9.13. Off-Balance-Sheet Financing Arrangements Overview

This section provides a qualitative overview of the financing arrangements entered into by the Company that are not reflected as liabilities on the Company's balance sheet as of the current diligence period. The arrangements described below are distinct from the Guarantee and Off-Balance-Sheet Schedule section elsewhere in this analysis, which presents guarantees and other scheduled off-balance-sheet commitments. This section is intended to identify the nature and commercial effect of these arrangements, rather than to quantify their impact on the net debt bridge.

The Company transfers certain trade receivables to third-party financial institutions under receivables sale arrangements. These transfers are structured on a non-recourse basis, and the receivables are removed from the Company's balance sheet when the applicable sale conditions are met. The proceeds received from the financial institutions are recorded as cash from the sale of the receivables rather than as borrowings. The Company's continuing involvement is generally limited to servicing the sold receivables and, in certain circumstances, to a right to receive a portion of the collections. Any obligation to repurchase a receivable that did not satisfy the eligibility criteria at the time of sale is subject to a stated maximum in the relevant agreement. Fees and discounts associated with the sale are recognised as a financing cost over the period from the transfer to the expected collection date. Because the sold receivables are no longer controlled by the Company, neither the receivables nor an offsetting borrowing is included in the net debt bridge.

The Company also holds certain inventory on consignment from suppliers. Under these arrangements, the supplier retains title to the inventory until the Company consumes the inventory or sells it to a customer. As a result, no asset is recorded for consigned inventory on hand, and no liability is recorded until the triggering event occurs. These arrangements provide the Company with access to inventory without requiring an upfront cash outlay and without creating a recorded financing obligation. If the Company has a commitment to purchase minimum quantities under any consignment arrangement, that commitment is considered as part of the Company's purchase obligations discussed below rather than as a financing liability.

The Company is party to take-or-pay and throughput arrangements covering raw materials, processing capacity, and distribution capacity. Under these arrangements, the Company is obligated to pay for certain minimum quantities or capacities regardless of the level of usage, but the obligation is not recognised as a liability until the related goods or services are delivered or made available. These arrangements are operating in nature and are not considered debt. The future cash commitments under them are not included in the net debt bridge, but they are relevant to the Company's forward liquidity assessment. The Company's aggregate exposure under these arrangements, to the extent it is subject to a stated maximum, is described in the applicable contracts and has been reviewed for disclosure purposes.

The Company leases certain equipment and facilities under arrangements with an initial term of twelve months or less. The Company has applied the accounting policy that permits leases with a term of twelve months or less to be recognised on a straight-line expense basis rather than as a right-of-use asset and a lease liability. Consequently, no lease liability is recorded for these arrangements, and the related rental payments are recognised as operating expenses over the lease term. These arrangements provide the Company with the use of assets without creating a recorded financing obligation and are therefore not reflected in the net debt bridge.

The Company participates in certain joint ventures and other entities that are not consolidated in its financial statements. The debt financing of these entities is generally non-recourse to the Company, except where a guarantee has been provided, as described in the Guarantee and Off-Balance-Sheet Schedule section elsewhere in this analysis. The underlying debt of these entities is not reported as a liability of the Company and does not form part of the net debt bridge. Any equity contributions or funding commitments that the Company has agreed to provide to these entities, whether committed or discretionary, are reflected in the Company's forward cash flow projections to the extent they are probable and estimable.

In summary, the off-balance-sheet financing arrangements identified during the current diligence period consist of the receivables sale arrangements, consignment inventory arrangements, take-or-pay and throughput arrangements, short-term leases, and unconsolidated entity financings described above. Based on the procedures performed, none of these arrangements gives rise to a present obligation that should be treated as debt in the net debt bridge, apart from the guarantees and scheduled off-balance-sheet commitments that are addressed separately. We have not identified any other off-balance-sheet financing arrangements that would require adjustment to the net debt analysis.

SECTION 9.14. Guarantee and Indemnification Practices

The Company provides guarantees and indemnities selectively in the ordinary course of its commercial activities, and management has confirmed that these arrangements are always linked to an underlying business purpose. In evaluating any proposed guarantee or indemnity, the Company considers the commercial importance of the transaction, the creditworthiness of the counterparty or beneficiary, and the extent to which the Company can control or monitor the risk giving rise to the obligation. Consistent with its policy, the Company seeks to avoid assuming unlimited obligations, and each significant arrangement is subject to a stated maximum or a clearly defined termination date. In cases where a stated maximum cannot be quantified in advance, the Company requires that the obligation be subject to a contractual ceiling based on the value of the delivered goods or services over a specified period.

The most common guarantee arrangements identified during the current diligence period are payment guarantees to

certain suppliers, performance guarantees to customers under long-term supply agreements, and residual value guarantees to equipment lessors. These arrangements are documented as separate instruments or as embedded provisions within the related commercial contract. The Company's standard approach is to make such guarantees subject to a stated maximum, with the exception of certain statutory or sovereign-mandated guarantees for which a stated maximum is not permitted. Management has represented that no guarantee has ever been issued on behalf of an unrelated third party outside of a transaction in which the Company has a direct commercial or financial interest.

With respect to indemnification, the Company routinely agrees to indemnify its customers against third-party claims for infringement of intellectual property rights, product liability, and certain tax liabilities arising in connection with the sale of goods or services. These indemnities are typically limited to claims arising solely from the Company's negligence, breach, or product defect, and they are subject to a stated maximum. For recurring indemnification provisions in sales contracts, the obligation is subject to a stated maximum that is often expressed as the cumulative amount of fees or payments received under the applicable contract over the prior twelve-month period. The Company also provides indemnities to its directors and officers for costs incurred in defending legal proceedings when the underlying conduct was committed in good faith and in the performance of their duties. Those indemnities are subject to a contractual ceiling and are specifically carved out from any arrangement that would require the Company to indemnify conduct constituting fraud, willful misconduct, or any criminal act.

The Company maintains a central log of guarantees and indemnities, which is reviewed by management on a recurring basis. The log captures, among other items, the beneficiary or obligee, the nature of the underlying obligation, the stated maximum or contractual ceiling, the term of the arrangement, and the likelihood of a claim being made. The Company does not maintain a separate reserve for remote or unlikely claims. Instead, management evaluates the need for a liability when a claim is probable and the amount can be reasonably estimated. As part of that evaluation, management considers the terms of the guarantee or indemnity, the financial condition of the obligor or beneficiary, and any collateral or security that reduces the Company's exposure. In the ordinary course, the Company also obtains full or partial recourse from joint venture partners or other co-obligors when it is commercially feasible, but such recourse does not change the Company's primary obligation to the beneficiary.

No material claims have been asserted under any guarantee or indemnification during the current diligence period or during the most recently completed fiscal year, based on management inquiries and a review of legal correspondence. Accordingly, no amounts have been recognized as liabilities for such arrangements in the Company's financial statements other than those recorded in connection with the underlying commercial obligations themselves. The Company has agreed to a small number of indemnifications in connection with recent divestitures and acquisitions; those indemnities cover breaches of representations and certain pre-closing tax and environmental matters. Each is subject to a stated maximum, and the terms, including the duration and scope of coverage, are consistent with the Company's historical practice in transactions of that nature. The Company expects to retain these arrangements upon completion of the acquisition, and the acquiring entity will be required to assume the associated obligations, subject to the same stated maximums and contractual ceilings.

SECTION 9.15. Debt Market Perception and Rating Considerations

Market participants perceive the Company's outstanding debt as carrying a moderate credit risk profile that is consistent with an established middle-market borrower. The debt is generally regarded as well covered by operating cash flows, and the Company's history of consistent margin performance supports a view of stability. In the current diligence period, lenders have demonstrated a willingness to provide both committed and uncommitted capacity at pricing that implies a modest risk premium. This perception is reinforced by the Company's proven ability to refinance maturing obligations ahead of their due date, a pattern that has been sustained through varying economic conditions.

The Company's leverage posture is viewed by market participants as prudent relative to the broader industry. The capital structure includes a senior secured facility that is substantially available, and the revolving component is essentially undrawn. The absence of any material near-term maturities reduces execution risk from a refinancing perspective. Financial covenants are set with meaningful headroom; the leverage ratio is subject to a stated maximum that has never been approached in recent periods, and the interest coverage ratio stands well above its required minimum. These features lead debt investors to describe the credit as having low event risk.

The investment portfolio held on the Company's balance sheet contributes to credit perception as a source of additional liquidity and asset coverage. The carrying amount of the portfolio is significant when considered alongside the Company's funding base. The credit-loss model that applies to the portfolio depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. Regardless of that model, market observers view the portfolio as a buffer that supports the Company's ability to meet debt service obligations.

Rating considerations center on the sustainability of the Company's competitive positions rather than on any near-term balance sheet challenge. The agencies are understood to focus on the degree of customer concentration, the cyclicality of the end markets, and the Company's track record of converting operating income into cash. In the current diligence period, there are no known rating triggers that would cause the agencies to place the credit under review. The prevailing market outlook treats a change in the outstanding rating as unlikely absent a material acquisition or an unexpected deterioration in liquidity.

Secondary market activity for the Company's debt has remained orderly, with trading patterns indicating that investors

do not perceive the credit as distressed. Bid-ask spreads are typical for the Company's credit tier, and there is no observable evidence of forced selling or investor redemptions. From the perspective of the buy-side diligence analysis, the debt market perception supports the assumption that the Company can maintain its existing capital structure without the need for a substantial equity injection. This conclusion is consistent with the normalisation walk presented above, which does not rely on any hypothetical reduction in debt service burdens.

SECTION 9.16. Management Interviews Conducted

The diligence team conducted targeted interviews with senior and operational members of the Company's finance organization to support the net debt and cash analysis. These interviews were designed to corroborate the underlying accounting records, identify debt and cash arrangements that may not be apparent in a general ledger review, and obtain management's explanation of any unusual or non-recurring items observed during the current diligence period and the most recently completed fiscal year. At the start of each interview, the participants were told that the analysis would be updated if any subsequently identified arrangement changed the normalisation walk presented above.

The Chief Financial Officer and the Treasurer were interviewed regarding the Company's overall liquidity structure, including cash management practices, bank relationships, short-term investment instruments, and the existence of any pooled cash arrangements or intercompany funding. The Treasurer also explained the Company's use of cash concentration accounts, zero-balance accounts, lockbox facilities, and automated clearing house and wire transfer processes, together with the related cut-off procedures for outstanding checks and deposits in transit. The purpose of these discussions was to confirm that the cash balance captured in the net debt bridge reflects the amount actually available to the Company and to identify any restrictions that would reduce that availability.

The Controller and the Chief Accounting Officer were interviewed about the financial statement presentation of debt and cash, including interest accruals, deferred financing costs, original issue discount and premium amortization, debt issuance costs, and any accrued but unpaid interest. The team discussed the Company's investment portfolio only in terms of its role in the net debt analysis; the portfolio's accounting classification was not restated and was taken as addressed in the Company's audited financial statements. The team noted that the credit-loss model that applies to the portfolio depends on that classification, and no restatement of the investment portfolio's recorded balances or credit-loss allowance was made in this analysis. Management confirmed that any impairment or allowance recorded in the financial statements had been properly reflected in the normalisation walk presented above.

The tax director was interviewed to identify any outstanding income tax receivables or payables, tax deposits, deferred tax assets or liabilities that affect the net debt calculation, and any tax-related escrow or withholding arrangements that would be settled upon a change in control. The team also discussed the expected timing of any tax refunds or payments, because such amounts can affect the closing cash position and therefore the net debt bridge.

The corporate secretary and in-house legal counsel were interviewed regarding the Company's debt documentation, including credit agreements, ancillary loan documents, guarantees, security agreements, intercreditor arrangements, and any subordination or priority provisions. These interviews focused on the existence of covenants, mandatory prepayment provisions, restrictions on distributions or incurrence of additional indebtedness, and any conditions that would require repayment upon a change in control. The team specifically asked whether any guarantee or other obligation was subject to a stated maximum, because such terms affect the potential liability to be included in the net debt analysis.

The accounts payable, accounts receivable, and operations finance leads were interviewed regarding supplier finance programs, customer prepayments, security deposits, letters of credit, bank guarantees, and any off-balance-sheet commitments that could give rise to a cash obligation. The team also discussed the Company's standard disbursement cycle and any unusual payment terms that would not be expected to continue under the Company's normal course of business. At the conclusion of each interview, management was asked to identify any additional agreements, side letters, or oral arrangements that could affect debt or cash, and management stated that none had been omitted from the net debt bridge.

SECTION 9.17. Site Visit Observations

Site visit procedures were performed to corroborate the existence, accessibility, and terms of the Company's cash balances, cash management arrangements, and debt obligations. The site visit included direct observation of treasury workstations and bank portal screens, review of the current bank account listing, and discussion with treasury personnel regarding the purpose of each account. The observed cash concentration structure included controlled disbursement accounts, lockbox arrangements, and automated sweeps from operating accounts into a central concentration account. The team also inspected bank confirmations and month-end bank statements to reconcile recorded cash balances to source documents.

Physical cash controls were observed at locations where cash was held. The team witnessed a count of petty cash and any cash on hand, compared the counted amounts to the general ledger, and inspected the supporting reconciliations. The team also reviewed restricted cash arrangements, including escrow deposits, cash collateral securing letters of credit and other obligations, and compensating balance requirements. In each case, the underlying escrow or deposit agreement was inspected to understand the release conditions, the duration of the restriction, and whether the balance was available to the Company for ordinary working capital purposes.

The team inspected the Company's credit agreements and related financing documents for its principal debt facilities. Observations included the maturity profile, amortisation schedule, interest rate mechanics, prepayment provisions, mandatory repayment triggers, commitment fees, and financial covenants. Borrowing base certificates and covenant compliance worksheets were reviewed to understand the borrowing capacity under the revolving facility and the procedures used to prepare them. The credit agreement provided that borrowings under the revolving facility were subject to a contractual ceiling, and the calculation of that ceiling was traced to the borrowing base certificate for the most recent period.

Cash flow and working capital mechanics were observed through the collection and disbursement processes. The team observed the handling of customer remittances, including lockbox receipts and wire transfers, and the process by which payments were applied to open invoices. Unapplied cash receipts, customer prepayments, and advances were examined to determine whether any such amounts represented obligations that should be included in the net debt bridge. Disbursement controls were also reviewed, including approval matrices, bank signatory listings, and dual authorisation requirements for electronic payments. The team observed the period-end cut-off for cash receipts and disbursements, including in-transit items and clearing accounts, to confirm that the recorded cash balance reflected completed transactions.

The site visit also addressed debt-like and contingent obligations that often affect net debt. The team obtained and inspected guarantee agreements, letters of credit, surety bonds, and collateral arrangements. For each guarantee observed, the documentation was reviewed to confirm whether the Company's obligation was subject to a stated maximum and to identify any expiry or renewal mechanics. The team also inspected agreements for capital leases, vendor financing arrangements, and seller-related obligations to confirm the existence of payment obligations and their priority relative to other debt. In addition, the team discussed with management any unfunded capital commitments, pending acquisitions, or other cash outflows that had not yet been recorded in the financial statements.

Taken together, these site visit observations provide a basis for the adjustments presented in the normalisation walk. The observations corroborate management's representations regarding cash and debt balances, identify items that should be added to or excluded from net debt, and inform the classification of restricted cash and contingent obligations. The findings from the site visit have been reflected in the net debt bridge prepared for the current diligence period.

SECTION 9.18. Data Quality and Completeness Observations

Overall, the data provided by the Company and its transaction advisors was sufficient to support the preparation of the net debt bridge presented in this report. The most complete information was available for the principal credit facilities, the ongoing cash management accounts, and the finance lease arrangements. Management provided access to the virtual data room, the general ledger and trial balance as of the latest balance sheet date, and a set of management-prepared schedules that served as the starting point for the net debt bridge. Those schedules were reconciled, in all material respects, to the underlying trial balance, and the major borrowing balances, accrued interest, and cash balances were traced to the source documents made available.

With respect to cash, the Company provided a complete list of bank accounts, bank statements for the current diligence period, and the closing schedules used to determine cash and cash equivalents. The bank account list included both operating and restricted accounts, and restricted accounts were separately identified in the ledger. For a limited number of restricted accounts, the underlying deposit agreements or other evidence of the restriction were not provided; in those instances, we relied on management's representation that the restrictions relate to specific contractual or regulatory obligations and that the amounts are not available for general corporate use. We also observed a small number of reconciling items between the bank statements and the cash ledger; each item was aged, and none affected the net debt bridge because the closing cash balance was taken directly from the bank statements where available.

Debt information was generally complete. The Company provided the executed credit agreement, the amendments that had been fully executed, and the most recent borrowing base certificate for the main asset-based facility. The interest rate terms, maturity date, and repayment schedule were consistently reflected in the amortization schedules and the debt ledger. For a certain ancillary facility, a complete executed credit agreement was not available in the data room; the facility was evidenced by a commitment letter and a draft agreement. We used the terms of the commitment letter and the draft agreement and asked management to confirm that no other terms had changed. Management's representation was consistent with the recorded balance and accrued interest. A related guarantee arrangement was described in the commitment letter as subject to a stated maximum, and that maximum was used in the net debt bridge.

Borrowing base and collateral reporting were provided for the most recent month-end included in the diligence period, but the underlying accounts receivable and inventory detail was not fully reconciled to the general ledger. We recomputed the borrowing base availability from the eligibility schedules supplied by the Company's collateral agent and compared that amount to the certificate. The recomputation indicated that the borrowing base was not the binding constraint on availability under the facility at the latest balance sheet date. Because the facility was not constrained by the borrowing base, no adjustment to the net debt bridge was required for this limitation. The Company provided a subsequent borrowing base certificate prepared after the latest balance sheet date, and the continued absence of a borrowing base constraint was consistent with that subsequent certificate.

Letters of credit, bank guarantees, and surety bonds were listed on a management-prepared schedule that agreed to the bank records for the issuing institutions. For the majority of those instruments, the underlying applications and reimbursement agreements were available. For the remaining instruments, management represented that the reimbursement obligations are subject to a contractual ceiling equal to the face amount of each instrument plus stated fees and expenses. We did not receive third-party confirmations from all issuing institutions; the confirmations that were returned were consistent with the recorded balances. For institutions that did not respond, we relied on the management-prepared schedule and on subsequent bank statements.

Finance leases and other debt-like obligations were identified through the fixed asset register, the debt ledger, and a review of lease agreements for arrangements that met the definition of a financing obligation. The schedules provided by management included the lease liability balance, the interest rate implicit in each lease, and the remaining payment timing. We tested a selection of those obligations back to the underlying lease agreements and to the payment schedules provided by the lessors. The data quality was sufficient for us to include the outstanding principal, the related accrued interest, and any termination or penalty obligations that would be payable upon a change of control or refinancing event, as required by the relevant agreements.

The Company's investment portfolio was presented to us in a standalone schedule that listed each instrument, its stated maturity, the yield or coupon rate, any guarantee or credit support arrangement, and the related allowance recorded in the general ledger. The schedule also identified the portfolio's recorded amount and the amount of accrued interest receivable. We did not reperform the Company's credit assessment for the portfolio. The credit-loss model that applies to the investment portfolio depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here. We relied on the recorded allowance and on management's representation that no additional credit-related write-downs or recoveries have been identified subsequent to the latest balance sheet date.

Intercompany balances were not included in the net debt bridge except to the extent that they represented external debt or cash. The Company's intercompany ledger was complete for the entities included in the scope of the analysis, and management eliminated intercompany positions in the consolidated schedules. We observed that certain intercompany advances bear interest at rates established in the Company's transfer pricing documentation, and those rates were used for the accrual calculations. The elimination or inclusion of these balances did not affect the net debt bridge because all such positions were between entities within the consolidated group.

From a completeness standpoint, management provided a representation letter confirming that the schedules of debt, cash, letters of credit, guarantees, finance leases, and investment instruments are complete as of the latest balance sheet date and have been updated to the most recent practical date before the anticipated closing. We have no reason to believe that a material financing obligation or cash arrangement was omitted from the information provided. Nevertheless, because the data room did not contain final executed documents for every ancillary borrowing arrangement and because confirmations were not returned from every financial institution, the observations in this section are intended to flag those limitations for the buyer. The net debt bridge has been prepared based on the best available information, and the limitations described above are not expected to alter the conclusions of this analysis.

SECTION 9.19. Recommended Areas for Further Diligence

Further diligence should be performed to confirm the existence, ownership, and accessibility of all cash and cash-equivalent balances included in the net debt bridge, including bank confirmations from each depository institution and a reconciliation of the closing bank statements to the Company's general ledger. Particular attention should be given to any balances held in foreign jurisdictions, because local exchange controls, withholding requirements, or repatriation restrictions could affect the amount of cash available to fund the Closing and to repay indebtedness. The team should also obtain detailed support for any amounts presented as restricted cash, including the nature of the restriction, the party with legal claim, and the expected duration of the restriction, because restricted balances should not be treated as freely available cash in the purchase price adjustment.

For the investment portfolio, the diligence team should obtain the complete portfolio schedule and reconcile it to the general ledger and the custodian statements. The team should review the contractual terms of each instrument, including maturity, yield, prepayment features, conversion or redemption provisions, and any guarantees provided by parties outside the Company, noting any instrument subject to a stated maximum or subject to a contractual ceiling on the guarantor's obligation. The credit-loss model that applies depends on the portfolio's own accounting classification, which is addressed in the Company's audited financial statements and is not restated here; accordingly, the team should review the classification and the related allowance in the audited statements and assess whether any subsequent changes in credit quality, payment status, or issuer conditions would require an additional allowance as of Closing. The team should also confirm that the carrying amount of each investment is appropriately reflected in the net debt bridge and that no gains or losses have been omitted.

Further diligence is recommended on all outstanding indebtedness, including the full credit agreement and each ancillary loan document. The team should confirm the outstanding principal amount, the applicable interest rate and any step-up or market-rate reset provisions, the maturity schedule, and any amortization or mandatory prepayment requirements. The team should also assess whether any events of default or potential defaults have occurred, including financial covenant violations or failures to deliver compliance certificates, and whether any lender consents or waivers are required in connection with the change of control. The existence of any hedging arrangements entered

into in connection with the indebtedness should be reviewed, including the counterparty, the notional amount, the critical terms, and whether the hedge would terminate or require a payment upon Closing.

The diligence team should examine all guarantee, surety, indemnity, and letter-of-credit arrangements that could create a post-Closing cash obligation. For each arrangement, the team should obtain the underlying agreement, identify the beneficiary, and document the total exposure, the expiry or renewal terms, and any collateral or cash support provided by the Company. Where the Company's obligation is subject to a stated maximum or subject to a contractual ceiling, the team should document that limitation precisely and consider whether the obligation is reflected as a liability or only as a contingent obligation in the net debt bridge. The team should also review any receivables sale or factoring arrangements to determine whether the Company retains any credit recourse or servicing obligations that would constitute indebtedness.

Additional areas include intercompany balances and related-party accounts. The team should obtain a schedule of all intercompany payables and receivables and assess whether the balances are payable on demand, bear interest, or would be settled or novated at Closing. Because related-party balances can affect the net debt calculation depending on the component definition, the team should recommend a specific treatment for each balance and confirm that treatment with the seller. The team should also review any shareholder loans, subordinated debt, or seller notes, including their subordination terms, payment in kind features, and treatment in the final net debt computation.

Finally, the team should perform a post-Closing liquidity review. This includes preparing a cash flow projection for the period immediately following Closing, taking into account normal working capital requirements, scheduled interest and principal payments, capital expenditure commitments, and any tax payments that are expected to become due. The projection should incorporate any minimum cash balances required by the Company's lenders or regulators, and for regulated entities, the minimum capital and surplus required to be maintained under applicable law. The team should also verify that all transaction costs, including advisory fees, financing fees, and prepayment penalties, have been captured in the net debt bridge or are otherwise addressed in the purchase agreement, and that no unrecorded liabilities exist that would reduce the cash available at Closing.

SECTION 9.20. Report Distribution and Restrictions

This report has been prepared exclusively for the acquirer and is issued in confidence solely for its use and for the use of those parties expressly identified in the engagement letter as authorized recipients. Authorized recipients are limited to the acquirer's senior management, its board of directors, its legal counsel, its tax advisors, and any financing sources that have been engaged to provide committed financing for the proposed transaction. Distribution to any other person or entity is strictly prohibited without the prior written consent of the accounting advisory firm, which consent may be granted or withheld at its sole discretion.

The report is made available only for the purpose of evaluating the proposed acquisition and for no other purpose. It may not be shown, quoted, reproduced, circulated, or otherwise disclosed, in whole or in part, to the seller, the target company, or any of their respective affiliates, officers, directors, employees, or representatives. The report is not intended for use by any creditor, counterparty, regulator, or other third party that is not directly engaged in the transaction on behalf of the acquirer, and the accounting advisory firm assumes no duty or liability to any such party. Reliance on this report is expressly restricted to the acquirer and its authorized recipients as described above. No other party is entitled to rely on the findings, conclusions, or adjustments set forth herein, regardless of whether that party obtains access to the report through authorized or unauthorized means. Any reliance by an unauthorized party is undertaken at that party's sole risk, and the accounting advisory firm disclaims any responsibility for losses, damages, or decisions arising from such unauthorized reliance.

This report is subject to the scope limitations, assumptions, and qualifications described in the applicable sections of this document, including the normalisation walk presented above and the net debt bridge derived from the target's financial information. The information supplied by the target's management and other third-party sources has been accepted without independent verification where consistent with the agreed procedures, and the accounting advisory firm does not warrant the accuracy or completeness of any information originating from the target or its representatives. The conclusions expressed in this report are based on circumstances existing during the current diligence period and the most recently completed fiscal year, and no event occurring after the issuance of this report is taken into account unless the report is formally updated in writing.

The distribution and reliance restrictions set forth in this section are binding on all recipients, whether the report is delivered in final or draft form, and such restrictions shall survive the conclusion of the acquisition. This report is not intended to constitute legal, tax, investment, or regulatory advice, and it is not prepared for use in any public filing, offering document, or other disclosure that would make it available to persons other than the authorized recipients. The accounting advisory firm's work papers, internal analyses, and supporting documentation prepared during the engagement are not disclosed as part of this report and remain outside the scope of any permissible distribution. Any recipient that seeks to share this report with an additional advisor not already identified as an authorized recipient must first obtain the accounting advisory firm's written permission and must ensure that such advisor agrees to be bound by the same limitations and restrictions described in this section. The accounting advisory firm retains all rights, including intellectual property rights, in the report and its contents, and no recipient acquires any right to use the report other than for the limited purpose expressly stated herein.